

W5.ST pitch deck

PITCH — W5.ST — VERDICT

ADJUDICATED 2026-08-11 — REJECT (no buy today), WATCH with tripwires; no position, no orders, size zero.

What we believe

W5 Solutions is a small Swedish defence supplier (training systems, shelters, tactical electronics) whose main disclosed customer is the Swedish defence procurement agency under a framework worth about SEK 700m. Revenue is genuinely growing fast — organic sales rose roughly 66% year over year in Q2 2026, before counting the KT-Shelter acquisition (EUR 22m, closed 25 May 2026).

The reason we looked at it: after the H1 print the stock fell hard, and the bull explanation on offer was that the ugly Q2 gross margin (42.3% vs 61–64% in the prior two quarters) was a one-time accounting artifact — when you buy a company, its inventory gets written up to near selling price, so the first few weeks of that inventory sells at almost no profit. If that were the whole story, margin snaps back next quarter and the sell-off is a gift.

We now believe that explanation is arithmetically impossible as the main cause. Work it through with the company's own numbers: consolidated gross profit was SEK 96.9m. Organic (non-acquired) sales were about SEK 184.7m of the SEK 227.9m total; the acquired business contributed roughly SEK 43m, about 19% of sales, for five weeks. Even in the most generous case — assume the acquired revenue earned *zero* gross profit, the maximum possible write-up effect — the organic business can have earned at most $96.9/184.7 = 52.4\%$ **gross margin**. That is 10–12 points below where the base business was running. The step-up cannot explain the gap because there isn't enough acquired revenue for it to hide in.

Management's own account agrees: they blamed higher purchase prices, lead-time problems and working-capital pressure. That is cost inflation, not accounting.

So: real business, real growth, real order book — but the margin break is in the core business, the balance sheet is stretched (net debt ~SEK 299m against a SEK 359m debt stack, negative tangible equity, and H1 operating cash flow of **negative** SEK 2.6m despite a flattering +SEK 40.7m in Q2 alone), the CFO seat is not permanently filled, and loan covenants are undisclosed. We do not buy a compressing-margin, cash-burning, levered small cap because the chart looks cheap.

What the market believes

The market has already stopped believing the one-off story. Pareto still rates it Buy but cut its target from SEK 76 to SEK 55 within days of the H1 report, against a share price then around SEK 39.50. The

stock is now around **SEK 35.3**, roughly 46% below its 52-week high of SEK 65.8 and only about 4% above the 52-week low of SEK 33.85 — it has fallen a further ~9% since the benches ran on 8 August.

In plain terms the market's position is: growth is real, the margin is the question, and nobody wants to underwrite the answer before the Q3 report. Sell-side still carries an upside target; the tape does not.

Why we might have edge

1. **We did the decomposition and the sell-side note we can see did not.** The “step-up one-off” claim was never quantified by the company — the H1 report breaks out SEK 17.3m of acquisition costs for adjusted EBIT but puts **no number at all** on an inventory write-up. Anyone repeating the one-off story is repeating an unquantified assertion. Ten minutes of arithmetic caps the organic margin at 52.4%, which settles it. That is a reusable check, not a W5-specific one.
2. **We caught that the widely-cited margin history isn't a company number.** W5 reports costs by nature and publishes no gross-profit line. The quarterly margin series everyone argues about (62.8 / 54.9 / 86.1 / 61.7 / 64.0 / 42.3) is a data-aggregator's derived figure. An 86.1% quarter in there is a mapping/timing artifact, not a business event. This cuts both ways and is the honest reason we are on WATCH rather than SHORT — see below.
3. **We wrote a resolution test that can actually resolve.** The original bull tripwire was “one quarter above 55% margin proves the one-off.” Against a series with roughly 13 points of quarter-to-quarter variation, one print proves nothing. Our test requires two consecutive quarters *plus* a disclosed organic/acquired split.

Why it might be priced in

Substantially, it is. The stock is down 46% from its high and sits 4% off its low; the sell-side target has already been cut 28%. We are not early to “the margin got worse” — we are early only to “the one-off explanation is arithmetically dead,” and the tape has largely acted as if it knew that anyway.

The honest asymmetry runs against us on the other side too: because the margin series is a derived number and the company doesn't disclose gross profit, **one 42.3% quarter does not prove permanent compression either**. If Q3 comes back at 58% with a clean split, the compression story is the thing that was wrong, and the entry we skipped will have been 35% lower than the re-entry. That is the cost of this REJECT and we are stating it up front.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q2's 42.3% margin is an acquired-inventory write-up one-off	Decomposed consolidated gross profit using the company's own disclosed organic growth rate, from the H1 2026 interim report	Even assuming the acquired revenue earned zero gross profit, organic margin ≤52.4% vs 61–64% prior. Base business compressed 10–12pp regardless	CONFIRMED — thesis spine dead

Claim	How checked	Found	Confirmed?
Red bench's version of that arithmetic	Blue bench re-derived it from the same inputs	OUR BENCH ERRED. Red claimed implied acquired gross profit was $\leq$ –SEK 4m at any base margin $\geq 50\%$; the correct figure at 50% is +SEK 4.5m , and the true breakeven is 52.4%. The boundary number was wrong; the kill survives in the corrected (and stronger) form	Conclusion confirmed, red's stated numbers corrected
The quarterly gross-margin series we both argued over	Cross-checked the company filing against the aggregator series	BOTH BENCHES ERRED. W5 publishes no gross-profit line at all. Every margin number in this debate — ours included — is derived by a third party, and the 86.1% quarter is a mapping artifact. We built an argument on a line the issuer never printed	Confirmed as a real weakness in our own evidence base
"Pareto Buy, target SEK 76" (the number in our own intake brief)	Search of broker coverage and Swedish financial press	Stale by one broker note. Post-H1 cut is to SEK 55 . Buy retained	CONFIRMED — our brief was out of date
"Working capital discipline held" (Q2 operating cash flow +SEK 40.7m)	H1 report, full-half figure	H1 operating cash flow is –SEK 2.6m . Q2's inflow only reversed Q1's burn; operations self-funded nothing	CONFIRMED — the bull datum was a half-quarter cherry-pick
Management's own explanation	H1 CEO letter and the Q2 earnings call	Blamed higher purchase prices, lead times, working capital — cost inflation. No write-up quantified anywhere, despite every incentive to disclose one if it existed	CONFIRMED
Down-round risk on the next capital raise	Reasoning from March 2026 directed issue at SEK 50 vs SEK 35.3 today, plus net debt SEK 299m and negative tangible equity	Next equity event likely prices below the last one. Not verified — we have no tool that reads the loan covenants	PLAUSIBLE, not confirmed
Executable price from our broker	IBKR live quote	COVERAGE GAP — permission not granted in this session, twice. All prices here are from the data pack and press reports, not from our own book	Gap, reported not hidden
Evidence pack completeness	Read the pack	Pack returned no entity ID, no filings and no financial-statement data for this issuer — it is US-filer-shaped and W5 is Swedish. Both benches had to fetch the primary report by hand	Confirmed gap in our own tooling
Pattern detectors run against the name	Ran the standard detector set	All non-applicable (no US real estate, no diagnostics, no China ramp pattern, etc.). One genuinely useful detector is missing : a job-posting scan on the KT-Shelter site in Finland, which would read production ramp directly	Confirmed — detector to build
Price used by the benches	Compared bench tape (SEK 38.9, 8 Aug) to	Stock fell a further ~9% while this deck was being written; it is now ~7% above	Confirmed — gate is closer than the courts assumed

Claim	How checked	Found	Confirmed?
	current pack (SEK 35.3, 18 Aug)	the SEK 33 re-examination gate, not ~18%	

PROPOSED ENTRY BANDS

The court says no entry. There is no buy level, no starter tranche and no add ladder. Size today is zero. These are the reopen conditions, stated as the adjudication wrote them:

- **next interim (date est): GM $\geq$ 55% w/ organic split = tripwire 1 of 2; below SEK33 = forced-seller re-exam**

Read out in plain language:

- **Reopen path A — the business answers.** Q3 interim (estimated November 2026, date **not** published by the company's investor calendar as of 11 August 2026) must show gross margin at or above 55% *with* a quantified split between organic and acquired revenue. That is tripwire **1 of 2**. A single clean quarter does not reopen the file; the second consecutive quarter at or above 55%, with the split again disclosed, is what reopens it. Alongside that we require a permanent CFO appointment and disclosure of the covenant terms on the SEK 359m debt stack.
- **Reopen path B — the price answers.** Below **SEK 33**, we re-examine for forced selling. This is a *re-examination trigger, not a buy order*: it obliges us to check whether the decline is mechanical (index or placement-related supply) rather than informed. If the seller isn't identifiable and dated, no bid follows. The stock is at SEK 35.3 today, so this trigger is roughly 6.5% away and could fire before any fundamental news.
- **Exits / trims:** none applicable — we hold nothing.
- **Sizing:** the courts set no size because they authorised no purchase. Our own read, flagged as inference rather than court ruling: negative tangible equity plus undisclosed covenants means any eventual reopen starts at starter size, not full.
- **Catalyst date:** Q3 2026 interim report, estimated 15 November 2026, **unconfirmed** — the company has not published it. Confirming that date from the investor-relations calendar is itself an action item.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 33.0 (deck-provisional: SEK 33 forced-seller re-examination gate from the adjudication; re-open the file to check for mechanic)
- dated pack W5.ST|2026-11-15: next interim (date est): GM $\geq$ 55% w/ organic split = tripwire 1 of 2; below SEK33 = forced-seller re-exam

What remains unverified

- **The write-up number itself.** No source anywhere quantifies the acquired-inventory step-up. Our 52.4% ceiling is a bound, not a measurement — it is robust precisely because it holds at the extreme, but we have never seen the actual figure.
- **Whether the compression is structural or a procurement-timing bulge.** Management says purchase prices and lead times. Those can normalise. One derived-margin quarter cannot distinguish “permanently worse business” from “one bad procurement cycle,” and we have said so on both sides.
- **Covenants.** Unknown terms on SEK 359m of debt, against negative tangible equity. This is the largest unread risk in the file.
- **Down-round risk.** Reasoned, not verified. We have no read on the company’s financing plans.
- **Our own margin series.** Derived by a third party from a company that publishes no gross-profit line. If the aggregator’s cost mapping is wrong, parts of this analysis move.
- **The order book’s conversion.** The SEK 700m framework with the Swedish defence procurement agency is disclosed, but we have not verified draw-down pace against it — growth being real does not tell us it is profitable growth.
- **Price and print timing.** No confirmed Q3 date, and our current price is a data-pack figure rather than a broker quote.

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